

Interview Feedback

Brew & Bean Profitability · 2026-10-06 · Overall: strong

Top improvement

Size the lever you recommend. You diagnosed a pricing failure but never said how big the price increase must be. With costs at 94% of revenue and flat volume, getting back to 24% margin needs about a 24% price rise, and a 10% rise only gets you to about 14.5%. Stating that, and how much procurement must close the remainder, would turn a strong recommendation into a decision-ready one.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate restated the objective and framed the likely problem space before structuring.

"so we're looking for a cost problem, or a mix problem, more than a demand problem. Goal is to find the root cause and reverse it."

The candidate gave an explicit, reasoned prioritization of where to start.

"Since revenue grew, I'd start on the cost side and only come back to revenue quality if costs don't explain it."

What needs work

The initial buckets were not MECE: the store-concentration branch is a segmentation lens that cuts across both cost and revenue, not a separate driver bucket.

"Second, I'd look at whether this is all stores or concentrated — new locations versus mature ones"

The opening structure missed non-operating costs even though the stated metric was net margin, but when challenged the candidate added the missing below-the-line bucket and competitive context with clear reasoning.

"Honestly, it's mostly MECE but not fully."

"because we're talking net margin, not operating margin, I'm missing a whole bucket below the operating line: interest expense, depreciation and amortization, and taxes."

Price appeared only as a revenue-quality check, not as a core driver of margin. The structure was not tied to the end decision of how to reverse the decline.

"Third, on revenue, I'd check whether the 15% came from price, volume, or new stores"

Missed opportunities

Opening framework in turn 1, before any data.

A great answer: "Profit margin equals price minus unit costs, so I'll look at three things. First, price per transaction and whether it has kept up. Second, unit costs, split into COGS (beans, dairy, packaging, food), labor, and overhead/rent. Third, below-the-line items like D&A and interest from new stores. My hypothesis is that COGS rose and wasn't passed through in price. That points to a pricing and procurement decision, so I'll start there and check whether competitors face the same inflation."

Quantitative & Analytical Rigor

strong

What went well

The candidate sanity-checked the cost lines against the stated margins before drawing conclusions.

"Let me check it adds up: two years ago $42 + 22 + 12 = 76\%$ of revenue in costs, leaving 24% — that matches the old margin."

The candidate handled nested percentages correctly, converting bean share of COGS into points of revenue. The candidate then backed out the implied bean inflation.

"Beans at 25% of that is 10.5 points of revenue; everything else is 31.5 points."

"So beans must be $58 - 43.3 = 14.7$ points, versus 10.5 before — that's about a 40% increase."

The candidate explicitly justified the comparison method and stated the business implication of the numbers.

"Since menu prices haven't moved, revenue per unit is flat, so I can compare these directly."

"The real root cause isn't any single commodity — it's that they've absorbed two years of inflation and held menu prices flat."

What needs work

The breakeven volume loss was asserted rather than derived aloud. The figure is correct: contribution goes from 0.42 to 0.52 per original revenue dollar, and $0.42/0.52 \approx 0.81$, so volume can fall about 19%. But the formula was never shown.

"something like 10% price up, we can afford to lose roughly a fifth of volume before we're worse off."

The candidate never sized the price increase needed to restore margin, though the received data allowed it. With flat volume, costs at 94% of revenue fall to 76% only at a price about 24% higher. A 10% increase brings margin to about 14.5%.

"If we raise price 10% with volume flat, that's roughly 10 points of revenue dropping almost straight to the bottom line"

Missed opportunities

Turn 15, when the candidate estimated breakeven volume for a 10% price increase.

A great answer: "Contribution per original revenue dollar is $1 - 0.58 = 0.42$ today. After a 10% price increase it's $1.10 - 0.58 = 0.52$. Breakeven volume is $0.42 / 0.52 \approx 81\%$, so we can lose about 19% of volume before contribution falls. That's a large cushion."

Data & Exhibit Interpretation

strong

What went well

The candidate read the exhibit line by line and quantified each line's contribution to the 18-point decline.

"COGS went 42 '50 '58, so a steady 8 points per year, and profit went 24 '15 '6, down about 9 points a year. Labor is dead flat at 22 the whole time, and overhead creeps up 1 point a year"

The candidate isolated COGS as the driver and tested whether beans alone explained it, correctly concluding inflation was broad-based, but did not explicitly split the 16 COGS points into beans (about 4.2) versus other inputs (about 11.8), which would have sharpened the 'not just beans' conclusion for procurement prioritization.

"So of the 18-point decline, 16 points come from COGS and 2 from overhead."

"So the conclusion is broad-based input cost inflation, roughly 37–40% across beans, dairy, packaging, and food"

"So beans must be $58 - 43.3 = 14.7$ points, versus 10.5 before"

The candidate drew an insightful implication from the shape of the trend and proposed next steps.

"A steady 8 points a year looks like sustained inflation that they've just never responded to."

"One thing I'd still want: has transaction volume held up, and do we know competitor pricing?"

Missed opportunities

Turn 7, after deriving bean points of 14.7 versus 10.5.

A great answer: "So beans added about 4.2 of the 16 COGS points, and dairy, packaging and food added about 11.8. Three-quarters of the problem is non-bean inputs, so procurement can't just be a coffee hedge."

Business Judgment & Insight

strong

What went well

The candidate correctly reframed the root cause as a pass-through failure rather than a cost-control failure, and steered away from cutting lean lines.

"Brew & Bean's margin problem is a pass-through problem, not a cost-control problem"

"Overhead's only 2 points, so I'd treat that as secondary."

The candidate proactively surfaced risks with concrete mitigations, but did not flag that hedges and forward contracts after two years of inflation carry a lock-in risk at elevated prices.

"Main risk is volume loss on price. I'd test increases in a subset of stores first and benchmark competitor pricing before a national rollout."

"Substituting ingredients where quality isn't the selling point is an option too, though risky for a specialty brand."

"use 200-store scale to renegotiate supply contracts and hedge beans and dairy."

The candidate ultimately pointed price increases toward less elastic items and built a pre-committed decision rule for the pilot, but the first pricing instinct targeted the items hit hardest by inflation, and elasticity only entered the logic after the interviewer's follow-up.

"I'd want the breakeven threshold defined before the pilot runs so we're not rationalizing results after."

"concentrate them on less price-sensitive items like specialty drinks and food rather than drip coffee."

"immediately raise menu prices, phased and skewed toward the items hit hardest by inflation."

Missed opportunities

Turn 13, recommending hedging of beans and dairy.

A great answer: "I'd ladder contracts over 12–24 months rather than lock everything at today's peak. That gives us budget certainty without betting that prices stay this high."

Creativity & Brainstorming

adequate

What went well

The candidate organized the brainstorm into clear buckets.

"Beyond price, I'd group it into three buckets."

What needs work

The candidate generated several distinct, relevant levers across procurement, operations, menu mix and ticket size, but they were conventional, with no clearly non-obvious lever.

"And packaging is usually the easiest line to re-spec cheaply without the customer noticing."

"I'd also look at waste and portion control, since in food service spoilage and inconsistent pours can be a meaningful chunk of COGS."

"raising ticket size through add-ons or a loyalty program gets you more revenue per transaction without a headline price increase"

Within the brainstorm, the candidate did not rank ideas by impact or speed. The only ranking was deprioritizing overhead.

"Overhead's only 2 points, so I'd treat that as secondary."

Missed opportunities

Turn 11, after listing the three buckets of levers.

A great answer: "Ranked by impact: procurement first, since non-bean inputs drive most of the COGS increase and 200 stores give leverage. Next, mix shift toward high-margin specialty drinks. Waste and loyalty come last. A less obvious option is a tiered offer, such as a value blend or a smaller size for price-sensitive locations, which protects traffic while we raise prices on premium SKUs."

Synthesis & Recommendation

strong

What went well

The candidate gave an answer-first recommendation with a crisp diagnosis.

"The fix has to lead with pricing."

The candidate supported the recommendation with three reasons tied to the analysis, then a sequenced action plan, though the third reason understated the trend: continuing it puts margin at about 3%, not 'near breakeven'.

"First, COGS explains 16 of the 18 points of margin decline; labor is flat and overhead is only 2 points, so there's no other lever of comparable size."

"In order: immediately raise menu prices, phased and skewed toward the items hit hardest by inflation."

"Third, at that rate they're near breakeven within a year"

The candidate named the key risk and concrete next steps concisely.

"Main risk is volume loss on price. I'd test increases in a subset of stores first and benchmark competitor pricing before a national rollout."

What needs work

The recommendation gave no magnitude for the price increase, even though the data supported sizing it.

"immediately raise menu prices, phased and skewed toward the items hit hardest by inflation."

Missed opportunities

Turn 13, stating the pricing recommendation.

A great answer: "Restoring the full 24% margin at flat volume would need about a 24% price increase, which is too much at once. I'd recover about half now with roughly 10–12% on specialty drinks, which gets margin back to about 14–15%, and close the rest through procurement."

Communication & Delivery

strong

What went well

The candidate was largely top-down, leading with the conclusion and then the support, but the opening framework was delivered as three loosely related points without first announcing the full structure.

"COGS is clearly the driver."

"This confirms the diagnosis rather than changing it."

"Here's how I'd structure it. Since revenue grew, I'd start on the cost side"

The candidate used explicit hypothesis-driven phrasing and signposting.

"Two hypotheses I'd test. One, input prices rose"

"Beyond price, I'd group it into three buckets."

The candidate built on interviewer cues, closing each answer with a targeted data request.

"Do we have the COGS breakdown by component?"

Missed opportunities

Turn 1 opening.

A great answer: "I'll look at three areas: unit costs, price, and below-the-line items. I'll start with costs because revenue grew while margin fell."

Pushback, Composure & Case Leadership

strong

What went well

When challenged on MECE-ness, the candidate acknowledged the gap specifically and updated with explicit reasoning rather than capitulating wholesale.

"Honestly, it's mostly MECE but not fully."

"If they financed new store openings with debt, interest could be eating a chunk of that 18 points."

The candidate drove the case by repeatedly requesting the next relevant data and proposing confirmation tests.

"To confirm, I'd check: are competitors' prices up over the same period? Is this inflation market-wide or supplier-specific?"

Under the volume-loss challenge, the candidate built a clear proceed/adjust/shift decision rule instead of retreating from the price recommendation, but the defense of the pricing cushion leaned on a breakeven figure that was not demonstrated, which weakened the case for holding the recommendation.

"If volume craters, that tells us they're not actually differentiated and price is the purchase driver. Then I'd shift weight to procurement and waste"

"I'd want to confirm that with actual unit economics, but the point is the cushion is fairly large."

Missed opportunities

Turn 15, defending the price-led plan against volume-loss risk.

A great answer: "Breakeven is 0.42 / 0.52, about 81% of current volume. So unless the pilot shows more than about a 19% drop, pricing still wins. Short of that, I'd hold the recommendation and adjust only the mix of items."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 0:06

Let me make sure I have the objective right: revenue is up 15% over two years, but net margin fell from 24% to 6% — so we're looking for a cost problem, or a mix problem, more than a demand problem. Goal is to find the root cause and reverse it.

Here's how I'd structure it. Since revenue grew, I'd start on the cost side and only come back to revenue quality if costs don't explain it.

First, I'd split costs into COGS — coffee beans, milk, cups, food — and operating costs: store labor, rent/occupancy, corporate overhead, marketing. I'd want to see which line grew fastest as a percentage of revenue over the two years.

Second, I'd look at whether this is all stores or concentrated — new locations versus mature ones, since 15% growth might mean they opened stores that aren't profitable yet.

Third, on revenue, I'd check whether the 15% came from price, volume, or new stores, because growth driven purely by store count can mask declining unit economics.

Do we have a cost breakdown as a percent of revenue for both years?

Interviewer · 0:09

Okay. I'll come back to the cost breakdown as a percent of revenue for both years shortly. Before we get to data: is that structure MECE, and what's missing from it? Also, which branch would you prioritize, and why?

Candidate · 0:15

Honestly, it's mostly MECE but not fully. I split costs into COGS and operating costs, but because we're talking net margin, not operating margin, I'm missing a whole bucket below the operating line: interest expense, depreciation and amortization, and taxes. If they financed new store openings with debt, interest could be eating a chunk of that 18 points. D&A on new build-outs too. So I'd add "non-operating costs" as a third cost branch.

The other thing missing is external context — are input prices like coffee and dairy up industry-wide, is this happening to competitors too? That tells us whether it's a market problem or a Brew & Bean execution problem.

I'd prioritize the cost branch, specifically COGS and store-level labor, because those scale with volume and are usually the biggest lines for a coffee chain. An 18-point swing is huge, so I'd expect it to be one or two big lines rather than lots of small ones — I'd want to find the biggest mover first.

Interviewer · 0:18

Okay. You asked about this earlier: COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Given those figures, which line is driving the decline, and what would you want to understand next?

Candidate · 0:24

COGS is clearly the driver. Let me check it adds up: two years ago $42 + 22 + 12 = 76\%$ of revenue in costs, leaving 24% — that matches the old margin. Today $58 + 22 + 14 = 94\%$, leaving 6%. So of the 18-point decline, 16 points come from COGS and 2 from overhead. COGS is basically the entire story.

Next I'd want to break COGS open. For a coffee chain I'd expect: green coffee beans, dairy, food items, and packaging/cups. I'd want each as a percent of revenue across both years to see which component moved.

Two hypotheses I'd test. One, input prices rose — coffee and dairy are volatile commodities, so is this a market-wide spike and are they hedged or buying spot? Two, mix shifted — maybe they pushed more food or higher-cost specialty drinks with worse margins.

And the other side: have menu prices moved at all in two years? If input costs rose and they held prices flat, that alone explains it.

Do we have the COGS breakdown by component?

Interviewer · 0:26

Okay, COGS as the main mover, with menu pricing as the other side of it. Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Menu prices have not changed in two years. Given those numbers, what do you conclude is driving the COGS increase, and what would you check next to confirm it?

Candidate · 0:34

Let me do the math. Two years ago COGS was 42% of revenue. Beans at 25% of that is 10.5 points of revenue; everything else is 31.5 points.

Non-bean inputs up 37.5%: $31.5 \times 1.375 = 43.3$ points of revenue. Since menu prices haven't moved, revenue per unit is flat, so I can compare these directly.

Today COGS is 58 points. So beans must be $58 - 43.3 = 14.7$ points, versus 10.5 before — that's about a 40% increase.

So the conclusion is broad-based input cost inflation, roughly 37–40% across beans, dairy, packaging, and food, with essentially zero pass-through to customers. The real root cause isn't any single commodity — it's that they've absorbed two years of inflation and held menu prices flat. That's a pricing failure as much as a cost failure.

To confirm, I'd check: are competitors' prices up over the same period? Is this inflation market-wide or supplier-specific? And are they on spot pricing with no hedges or contracts?

Interviewer · 0:37

Okay, a pricing and pass-through diagnosis. Take a look at this: Brew & Bean Cost Structure Over Time. Take a look at this exhibit and tell me what you see, and whether it changes or confirms your conclusion.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 0:43

What I see is a very linear deterioration. COGS went 42 ' 50 ' 58, so a steady 8 points per year, and profit went 24 ' 15 ' 6, down about 9 points a year. Labor is dead flat at 22 the whole time, and overhead creeps up 1 point a year — so overhead is real but minor, about 2 of the 18 points.

This confirms the diagnosis rather than changing it. The key read for me is that this isn't a one-time shock — if it were a single bad crop year or one supplier renegotiation, I'd expect a jump and then a plateau. A steady 8 points a year looks like sustained inflation that they've just never responded to. Two full years of absorbing it.

It also suggests urgency: if the trend continues another year, COGS goes to 66 and they're underwater. So the pricing fix can't be incremental.

One thing I'd still want: has transaction volume held up, and do we know competitor pricing?

Interviewer · 0:45

Okay. A steady trend, and you've raised volume and competitor pricing as open questions. Beyond a price increase, what else could Brew & Bean do to reverse the margin decline?

Candidate · 0:51

Beyond price, I'd group it into three buckets.

On cost, I'd look at procurement: are they buying spot with no hedging or long-term contracts? With 200 locations they should have real scale leverage — consolidating suppliers or locking in forward contracts on beans and dairy could take several points off. I'd also look at waste and portion control, since in food service spoilage and inconsistent pours can be a meaningful chunk of COGS. And packaging is usually the easiest line to re-spec cheaply without the customer noticing.

On mix, shift the menu toward higher-margin items — push drinks where the input cost is low relative to price, and de-emphasize or reprice the items that got hit hardest by inflation. Substituting ingredients where quality isn't the selling point is an option too, though risky for a specialty brand.

On revenue, raising ticket size through add-ons or a loyalty program gets you more revenue per transaction without a headline price increase, which is less likely to drive customers away.

Overhead's only 2 points, so I'd treat that as secondary.

Interviewer · 0:53

Okay, three buckets of levers. Pull it together for the CEO: what do you recommend Brew & Bean do, and in what order?

Candidate · 0:59

My recommendation: Brew & Bean's margin problem is a pass-through problem, not a cost-control problem — they've absorbed roughly 38–40% input inflation across beans, dairy, packaging and food while holding menu prices flat for two years. The fix has to lead with pricing.

Three supporting points. First, COGS explains 16 of the 18 points of margin decline; labor is flat and overhead is only 2 points, so there's no other lever of comparable size. Second, the trend is linear, 8 points a year, so it's sustained inflation, not a shock that will self-correct. Third, at that rate they're near breakeven within a year, so incremental action won't close the gap.

In order: immediately raise menu prices, phased and skewed toward the items hit hardest by inflation. In parallel, use 200-store scale to renegotiate supply contracts and hedge beans and dairy. Then mix and waste work over the next two quarters.

Main risk is volume loss on price. I'd test increases in a subset of stores first and benchmark competitor pricing before a national rollout.

Interviewer · 1:01

Okay. You named volume loss as the main risk to leading with price. If the pilot stores show customers pulling back, how would you decide whether to proceed, adjust, or shift to the cost levers instead?

Candidate · 1:08

I'd make it an elasticity question, and I'd want the breakeven threshold defined before the pilot runs so we're not rationalizing results after.

Rough math: at a 58% COGS and 6% margin, contribution margin per dollar of revenue is about 42% before fixed costs. If we raise price 10% with volume flat, that's roughly 10 points of revenue dropping almost straight to the bottom line, since unit costs don't change. I'd need the breakeven volume loss — something like 10% price up, we can afford to lose roughly a fifth of volume before we're worse off. I'd want to confirm that with actual unit economics, but the point is the cushion is fairly large.

So: if pilot volume loss is well under breakeven, proceed and roll out. If it's close, adjust — smaller increases, or concentrate them on less price-sensitive items like specialty drinks and food rather than drip coffee.

If volume craters, that tells us they're not actually differentiated and price is the purchase driver. Then I'd shift weight to procurement and waste, and revisit the brand positioning separately.

Interviewer · 1:08

I don't have Actual unit economics to confirm the breakeven volume loss calculation. That's our time. Thanks for working through this with me — your written report will follow.